

Introduction, B2B Context & Macro Trends

Introduction

This report delivers an end-to-end commercial performance review, evaluating transactional data summing £20.97M in revenue, of a UK-based B2B online wholesale retailer operating in 43 global markets, including the UK. Analysed data runs from 01/12/09 to 01/12/11 with 40K completed orders across 6K unique customer accounts.

This retailer specialises in home décor, seasonal gifts and craft supplies with target customers likely being trade buyers, retail boutiques and independent giftshop owners.

1.1 Objectives

- To evaluate revenue trends across 2010 and 2011 to identify seasonal demand patterns, particularly during Q4, and assess implications for supply chain management
- To analyse sales performance to determine high-volume products and assess low-performing tail SKUs
- To assess revenue concentration across customers and countries, considering the Pareto Principle
- To use recency, frequency and monetary (RFM) analysis to segment customers by purchasing behaviours and identify high-value and at-risk accounts

1.2 KPI Overview

The dataset provides a strong commercial baseline, with a net revenue of £20.97M across ~40,000 transactions and ~6,000 active accounts in 43 markets. An Average Order Value (AOV) of £523.21 reflects standard B2B wholesale purchasing patterns, where customers typically purchase multiple products or in higher quantities per transaction, rather than making individual purchases. However, high transaction averages mask significant spend disparities. While a global footprint provides diversity and reduces independence on individual markets, revenue remains highly concentrated in key geographic hubs and high-trade accounts, which will be evaluated in subsequent sections.

Key Commercial Metric	Value
Net Revenue	£20.97M
Transaction Volume	40K
Average Order Value	£523.31
Unique Customer Accounts	6K
Market Footprint	43

Table 1.1 Key Performance Indicators

Overall, these metrics provide the benchmark for evaluation of seasonality, product performance, geographic concentration and customer segmentation.

1.3 Seasonality and Year-on-Year Analysis

Recorded monthly revenue across 2010 and 2011 displays consistent Q4 seasonality as well as a higher underlying baseline in 2011. Outside of peak months, trading remained stable between £520K and £830K, with a period floor of £523.3K in February 2011. Revenue surged in November to £1.47M in 2010 and £1.51M in 2011 (a 182% increase over non-peak baselines), indicating a structured B2B seasonal stocking cycle rather than an isolated increase. From an operational standpoint, this highlights the importance of ensuring sufficient inventory procurement and fulfilment capacity ahead of the final quarter trading period.

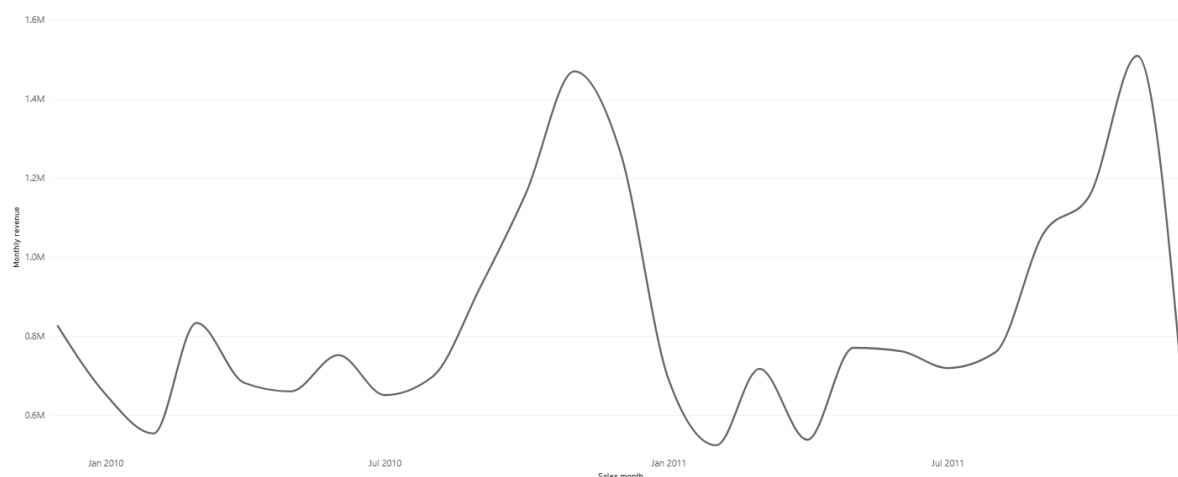


Figure 2.1 Monthly Revenue

Key Seasonal Metric	2010	2011	Year-on-year change
Peak November Revenue	£1,470,272.48	£1,509,496.33	+2.66%
Summer Baseline (July)	£650,712.94	£719,221.19	+10.53%

Table 1.2 Comparative Seasonal Revenue Metrics (2010 VS 2011)

The year-on-year baseline also increased, with mid-summer spend (July) increasing by 10.53% from £650.7K (2010) to £719.2K (2011), suggesting stronger trade activity in 2011. However, the dataset does not account for effects of changes in customer numbers, product mix or pricing and so it should not be interpreted as definitive organic growth.

Action Plan for Supply Chain Optimisation:

Prepare for the recurring Q4 demand and revenue peak in late Q2 or early Q3. This allows sufficient supplier lead time for inventory procurement, stock buildup ahead of peak demand and staffing adjustments to handle higher order volumes.

Catalogue Optimisation & Supply Chain Efficiency

2.1 High-Velocity Revenue Drivers

Analysis of catalogue sales highlights that there is a concentration of sales within home, décor and novelty gift product lines, with the top 10 catalogue SKUs cumulatively generating £2.13M in net sales across the recorded period. This indicates that a narrow range of product lines are responsible for over 10% of overall company revenue.

Decorative categories lead purchase patterns with 'White Hanging Heart T-Light Holder' serving as the business's primary volume driver, reaching 97,000 units sold. Additional products including 'Assorted Colour Bird Ornament', 'Paper Craft, Little Birdie' and 'Jumbo Bag Red Retrospot' highlight high demand across wholesale décor, high-margin seasonal gifts, and utility storage lines.

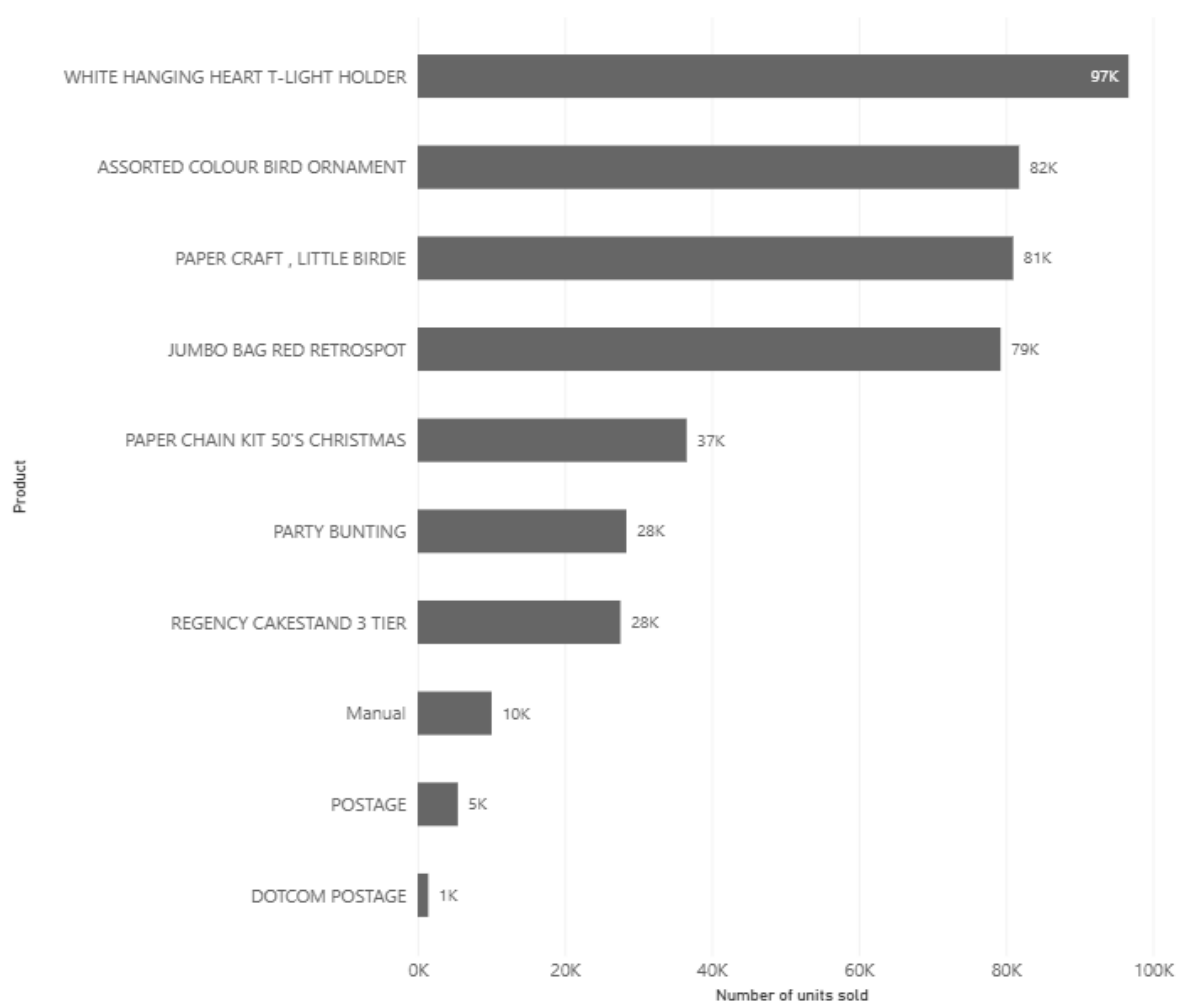


Figure 2.1 Top 10 Product SKUs Ranked by Sales Volume

2.2 Deadstock & Tail SKU analysis

Analysis of low-velocity items shows a steep sales volume drop-off at the tail end of inventory, potentially indicating operational drag and inefficient catalogue management. Low performing tail SKUs contribute negligible financial value while consuming operational capacity which could be redeployed for higher-velocity items that generate stronger returns and higher yield categories to optimise supply chain efficiency.

The bottom 10 performing SKUs cumulatively generated a total of only £8.97 across the two-year trading period with products such as ‘Cat with Sunglasses Blank Card’ and ‘White Scandinavian Heart Christmas’ moving between 1 and 5 units across the recorded period.

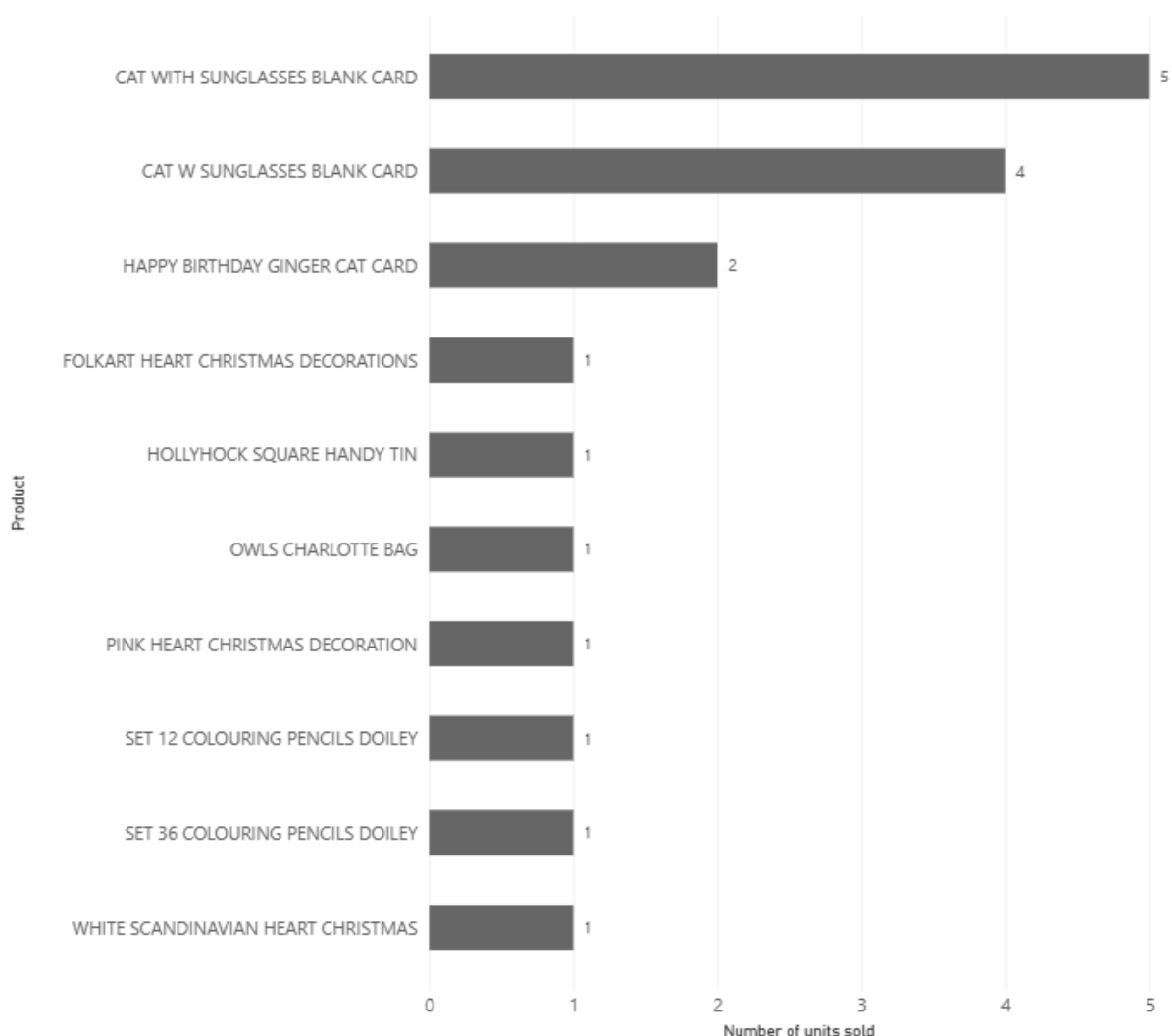


Figure 2.2 Bottom 10 Product SKUs Ranked by Sales Volume

2.3 Operational & Carrying Cost Impact

Carrying low-velocity tail SKUs creates operational inefficiencies that reduce warehouse profitability and take up working capital. Dead stock may seem harmless on a balance sheet due to low purchase price; however, it creates friction within the supply chain.

- Working capital drag means the single-digit sales items lock liquid capital in non-performing assets so no meaningful gross margin contribution is made to overhead costs
- Fulfilment friction means dormant inventory takes up prime physical space in warehouses, decreasing order-picking efficiency and inflating stocktake labour costs
- Inventory can also become obsolete if carried past its demand cycle which risks inventory write-down

2.4 SKU Rationalisation & Warehouse strategy

Management should implement a velocity framework that classifies products based on how quickly they sell to help optimise fulfilment throughput and lower holding costs.

Action Plan for High Velocity SKUs: (Top 10 SKUs: £2.13M Subtotal / 400K+ Units Sold)
Priority pick-pathing → Prioritise top selling items and place near packing stations to reduce pick-time
Bulk purchase discount → Leverage predictable demand to negotiate cheaper prices from suppliers

Action Plan for Low Velocity SKUs: (Bottom 10 tail SKUs: £8.97 Subtotal / 18 Units Sold Total)
Discontinue → Remove products that sell <10 units annually from website
Liquidate → Get rid of remaining stock by selling cheaply
Gift → Use deadstock items free gifts with high-value orders to clear space

Market Expansion & Account Concentration Risk

3.1 Geographic Market Breakdown

Business operations take place in 43 international markets, including the UK; however, net revenue is heavily concentrated in Western Europe trade zones, with the UK domestic market dominating overall cash flow, and nearshore European countries accounting for most export volume.

Country/Region	Net Revenue (£)	Share of Revenue (%)
United Kingdom	£17.90M	85.36%
Ireland	£0.70M	3.34%

Netherlands	£0.60M	2.86%
Germany	£0.40M	1.91%
France	£0.40M	1.91%
Rest of World (38 Markets)	£0.97M	4.62%

Table 3.1 Geographic Market Revenue Breakdown

The geographic distribution shows that foreign expansion is in the early stages, and while serving in 43 global markets provides broad brand visibility, 38 non-core territories collectively generate < 5% of turnover. This highlights the opportunity to cut back on international admin costs and refocus international marketing capital onto high value European territories.



Figure 3.1 Global Revenue Distribution Highlighting Western European Market Concentration

3.2 Customer Concentration Risk

The business displays extreme revenue concentration, adhering to the Pareto Principle, where a small portion of customers drive cash flow. Revenue is not evenly distributed across the 6,000 customer accounts meaning trade is heavily dictated by a small group of high-volume wholesale buyers.

- **Top 10 Account Contribution:** The top 10 transaction drivers generated £5,829,848.15 across 4,155 orders, making up 27.8% of total revenue in the logged period.

- Guest Checkout Note: The largest revenue pool generated £3,147,830.26 across 2,994 orders (15% of total revenue), representing an unassigned guest checkout pool, rather than a single customer.
- Top 10 Named B2B Accounts: Filtering out guest checkouts leaves the top 10 identified business accounts, which generated £2,705,824.42 across 1,575 orders, accounting for 12.8% of company net revenue. This is significant as these customers make up < 0.2% of the registered B2B customer base but generate over 1/8th of company revenue.

Customer ID	Country	Sum of Total Orders	Sum of Total Spent (£)
18102	United Kingdom	153	£598,215.22
14646	Netherlands	164	£523,342.07
14156	EIRE	202	£296,564.69
14911	EIRE	510	£270,248.53
17450	United Kingdom	61	£233,579.39
13694	United Kingdom	164	£190,625.52
17511	United Kingdom	85	£171,885.98
12415	Australia	33	£143,269.29
16684	United Kingdom	65	£141,502.25
15061	United Kingdom	138	£136,391.48
Total		1,575	£2,705,824.42

Table 3.2 Top 10 Identified B2B Enterprise Accounts

3.3 Key Account Management

Due to the high revenue generated by top accounts, establishing key account management frameworks is a critical risk mitigation priority.

Customer Retention & Account Strategy

Dedicated account management → Assign dedicated managers to the top 10 revenue generating accounts and maintain clear service standards (Service Level Agreements) to support customer retention

Long-term supply agreements → Encourage high-value wholesale customers to commit to annual/volume-based agreements, creating more predictable revenue and reducing customer churn

Guest Account Incentives → Offer discounts on future orders to encourage guest customers to create accounts, making the £3.15M in guest sales easier to track and use for future marketing

Behavioural RFM Segmentation & Margin Protection

4.1 RFM Model Breakdown

Accounts were segmented into 6 behavioural categories using Recency, Frequency and Monetary modelling to evaluate customer lifetime value.

Assigned Group	Total Spend (£)	Share of Revenue (%)	Account Volume	Strategic Objective
Champions	£15,362,557.15	73.25%	~1,300	VIP retention, priority fulfilment, margin protection
Loyal Customers	£4,574,858.81	21.81%	~1,900	Cross-category upselling & volume-based agreements
One-Time / Inactive	£554,771.57	2.65%	~1,550	Automated customer reactivation campaigns
Needs Attention	£248,385.08	1.18%	~600	Time-sensitive incentives to increase purchase frequency
Potential Loyalists	£176,927.12	0.84%	~400	Structured onboarding to encourage repeat purchasing
At-Risk Customers	£55,094.82	0.26%	~150	Strategic discount interventions to reduce churn

Table 4.1 Quantitative Behavioural RFM Segmentation Breakdown

4.2 Revenue Concentration & Lifetime Value Strategy

Behavioural segmentation reveals that 95.06% of total revenue (£19.93M) is driven by 2 segments: Champions and Loyalists. These segments are made up of ~3,200 accounts.

Action Plan for Revenue Concentration: 95.06% of Revenue / ~3,200 Accounts

Capital Allocation → Prioritise account management resources towards Champions and Loyalists to protect high-LTV accounts rather than overinvesting in high-cost cold customer acquisition

Lifecycle automation → Target Needs Attention and At-Risk customers when order latency exceeds 60 days to encourage repeat purchases and reduce customer churn

Strategic Action Plan & Technical Appendix

5.1 30-60-90 day Executive Roadmap

To convert these analytical insights into measurable commercial performance, management should follow the following operational roadmap

Timeline	Operational Focus	Key Strategic Deliverable	Primary Target KPI
Days 1–30	Operations & Supply Chain	Discontinue/liquidate bottom-performing tail SKUs (1–5 units) to free up warehouse capacity	Reduce carrying costs & storage friction
Days 31–60	Key Account Management	Formalise customised SLA contracts and dedicated account support for Top 10 B2B Accounts	Protect core revenue & mitigate customer churn
Days 61–90	Customer Relationship Management & Lifecycle	Launch automated re-engagement triggers for decaying Needs Attention accounts.	Maximise Customer LTV & recover margin

Table 5.1 30-60-90 Day Operational Roadmap

Appendix A: Technical Methodology & Data Governance

A.1 Tools Used Throughout

- Source Dataset: Raw transactional e-commerce dataset presented in Microsoft Excel (.xlsx) format
- Database Management: PostgreSQL DBMS used to store, structure and manage transactional dataset in a relational database
- SQL Query Engine: DBeaver SQL Client Engine used to execute SQL queries, carry out exploratory data analysis, validate aggregations and identify key business trends
- Visualisation programme: Power BI used for data modelling, KPI calculations, interactive dashboards and business reporting
 - Data Preparation: Power Query used to import and clean data, removing null values for data modelling and analysis

A.2 Data Cleaning & Transformation

- Missing Value Handling: Used Power Query to identify and manage missing Customer ID's, revealing £3.15M was generated across 2,994 guest accounts. The transactions of these accounts were retained in overall revenue calculations

(£20.97M), while identified customer accounts were analysed in isolation to prevent distortion of customer-level results

- Record Filtering & Refund Reconciliation: Retained return and cancellation transactions to offset original sales, ensuring accurate net revenue calculation (£20.97M)

A.3 RFM Customer Segmentation

- RFM Calculation: Used SQL queries in PostgreSQL to calculate Recency, Frequency and Monetary values for identified customers
- Customer Segmentation: Scored customers with quartile scoring using NTILE() and CASE logic to classify customers into 6 different behavioural segments